and could lower their dependence on high-cost wholesale funding. It could also support credit growth if banks choose to deploy the additional liquidity.

The concern for the RBI, however, is what this does to short-term interest rates and monetary-policy transmission. With inflation beginning to firm up, the central bank has little incentive to allow excess liquidity to fuel a fresh credit and demand cycle.

Retail inflation rose to 4.82% in August compared with 4.45% in July, staying above the RBI's targeted 4% for the third consecutive month. WPI (wholesale price index)-based inflation, meanwhile, hit 9.92% in August, the fourth straight month that it has been close to 10%. With a deficient monsoon, there is a worry food prices will rise, which coupled with the surging crude oil prices will put upward pressure on inflation.

The combination of rising inflation and firm GDP growth (7.8% in April-June) has strengthened the case for the RBI to raise interest rates in the next monetary policy committee (MPC) meeting in October, according to some economists. Recent rate hikes by major central banks included one by the US Federal Reserve on September 16, its first in three years, and by the Bank of Japan on September 18, 2026, reaching its highest level in 31 years.

"The RBI's current position of keeping the rate at 5.25% as long as possible looks increasingly out of step with the inflation trajectory," says Dhananjay Sinha, CEO and co-head, institutional equities, Systematix Group, adding that persistently high WPI and CPI point to growing discomfort with a negative real rates scenario. "We expect a shift towards a meaningfully positive real rate, with the repo nearer 6.5%, rather than continued accommodation," said Sinha.

In such a scenario, high system-wide liquidity, which will drive short-term rates lower, sends confusing signals to the market. Moreover, some also worry that excess liquidity could again lead to an exuberance in lending during the festive season, which may compound inflationary concerns.

"The $127 billion forex buffer raised through the FCNR(B) scheme should help fund the trade deficit and support financial conditions, but the surplus liquidity it has created risks adding to inflation — leaving the RBI to juggle sterilisation, external stability, and price control even as it's pushed towards a hike sooner rather than later," says Sinha.

BANKS WILL HAVE TO BEAR THE HEDGING COST ON THE INTEREST COMPONENT, WHICH IS EXPECTED TO INCREASE THE COST

ISB's Tantri says while financial stability has been one of the biggest achievements of the current government, the $127-odd billion in the system could have an adverse impact given there aren't that many opportunities right now for banks to lend so much money.

Top bankers remain divided on how this will play out. Axis Bank's Chief Executive Amitabh Chaudhary recently warned that the liquidity surge could lead to abnormal lending. On the other hand, C.S. Setty, chairman of State Bank of India, said the liquidity would get absorbed over the next three to four months. He hoped "everybody will be more responsible in lending".

Devang Rajkotia, associate vice president at Moody's Ratings, doesn't expect banks to materially accelerate lending and—excluding deposit-backed lending linked to FCNR (B)—he still expects 13-15% credit growth, supported by domestic demand and investment activity.

The excessive liquidity has brought RBI's money management tools into play. On September 11, it announced sovereign bond sales through the open market to mop up ₹1 lakh crore in three tranches. On September 17, the central bank absorbed another ₹2.4 lakh crore from the banking sector through variable rate reverse repo auctions (VRRR). The reverse repo rate is the interest rate the central bank pays commercial banks when it borrows money from them.

Rajkotia says VRRR auctions are likely to remain the RBI's primary tool for absorbing liquidity, and a sustained surplus could also see greater use of longer-tenor VRRRs, the standing deposit facility (SDF, where banks deposit their money with the RBI without any collateral), and selective open market sales.

"The RBI's focus will be on keeping short-term market rates aligned with the policy rate and ensuring monetary policy remains effective, rather than temporary excess liquidity," he said.

REDEMPTION CHALLENGE

The RBI will also be mindful that the FCNR (B) deposits will mature in three to five years and then the forex will flow out. Governor